

LZB pitch deck

PITCH — LZB — VERDICT

ADJUDICATED — WATCH, 5/10. No position, size 0, no order. La-Z-Boy is priced at roughly fair value for what it currently earns; both benches agree the bull's facts are better than the tape implies but that we have no view the market doesn't already hold, so we wait for a price or a proof, not a story.

What we believe

La-Z-Boy is a 99-year-old furniture maker in the middle of converting itself from a wholesaler that sells to independent dealers into a retailer that owns its own stores (230 of 378 company-owned, headed toward 450). It has no borrowed money, about \$267M of net cash (\$6.67 a share against a \$33.71 stock), and it just authorized a \$300M buyback — at today's market value of roughly \$1.35B, that authorization is about 22% of the company. (The July court called it 18%; that figure was struck at a higher share price. Same dollars, cheaper stock.)

What we believe about the business, stated plainly:

- **The damage is real but it is decelerating.** Operating profit has fallen three years running — \$150.8M (FY24) → \$135.8M (FY25) → \$129.2M (FY26) — on revenue that *rose* from \$2.047B to \$2.127B. Seven years of reinvestment since FY19 bought literally zero additional operating profit (\$129.7M then, \$129.2M now) on 22% more revenue.
- **The most recent quarter looks far worse than it is.** The June-quarter GAAP result was a \$2.1M operating *loss*, but \$17.6M of plant-closure charges, \$2.6M of divestiture cost, and \$0.6M of other one-time items sit inside it. Back those out and the quarter earned \$18.7M, a 3.9% margin, versus about 4.5% a year earlier — roughly half a point of compression, not the five points the headline GAAP number shows. Three of the charge buckets are terminal: the pension plan was *terminated*, the casegoods business was *sold*, the plants were *closed*. They cannot repeat in the same form.
- **Sales are close to flat, not falling apart.** Reported revenue was -3%, but -1% once you remove the business the company sold. Orders written in company stores were *positive* on a same-store basis.
- **Retail is not obviously dilutive.** The retail segment's adjusted margin actually rose year over year (6.5% vs 6.3%) while wholesale's fell (7.5% → 6.8%). The gap between the growing segment and the shrinking one is 30 basis points and closing.

And what we believe about the *trade*, which is different: **none of the above is ours alone.** We have no earnings forecast of our own that differs from Wall Street's. Fair value is not an entry. This pays only at a discount or on a confirmed turn in demand.

What the market believes

The market believes this is a decent, over-capitalized, cyclically depressed furniture company worth meaningfully more than \$33.71 — and that the recovery is coming. Consensus is \$2.98 of earnings per share for the current fiscal year on \$2.17B of revenue; one house (Sidoti) cut to \$2.66 on 8/20/26. The consensus price target is \$41, about 22% above the stock. Trailing P/E is 17.0, forward 13.5. At \$33.71 against \$2.98, we'd be paying 11.3x.

Read that carefully, because it is the crux: **the street already holds our thesis**. A \$41 target on a company earning through a trough is the trough-and-recovery view. The market is not pricing permanent impairment; it is pricing a normal recovery and being patient about it. There is no gap between what we think and what is quoted.

Why we might have edge

Honestly: thin, and mostly of the “we did the arithmetic correctly” variety rather than the “we know something” variety.

1. **The GAAP-vs-adjusted confusion is genuine and wide.** A $-\$0.06$ GAAP loss versus a $+\$0.44$ prior-year quarter reads as a collapse. The clean, like-for-like compression is about 55 basis points. Anyone anchoring to the headline is looking at the wrong number — and the stock gapped roughly -17% on that headline.
2. **The divestiture distorts every year-over-year comparison** for the next three quarters. Revenue -3% is really -1% ; wholesale -9% is really -5% . Screens that ingest reported deltas will keep flagging LZB as deteriorating faster than it is.
3. **The shareholder yield is unusually large for the size.** A \$300M authorization on a \$1.35B company, plus roughly \$39M a year of dividends, against zero debt and \$267M of net cash. If the company simply doesn't get worse, the share count shrinks meaningfully ($41.4\text{M} \rightarrow 40.05\text{M}$ over four quarters already).
4. **Sentiment/positioning asymmetry.** The stock is 25% off its 52-week high but only 16% off the low — mid-range, not washed out. That is honest evidence *against* the “everyone has given up” version of the setup, which is why we grade the edge low rather than high.

Why it might be priced in

- **The \$41 street target holds the identical mechanism.** This is the same failure we wrote up on BLDR three weeks ago: when the sell side's target already embeds “margins recover as the transformation ends,” our restatement of that view is not edge, it is agreement with extra steps.
- **We produced no earnings estimate of our own.** No number, no divergence, nothing gradeable. The strongest single objection either bench raised survives entirely: we cannot say what the stock is worth if we cannot say what it earns.

- **The pattern has failed us seven times.** “Stock gaps down on a print, we decompose the charges, we conclude the market misread it” is graded 0-for-7 on this desk. In every one of those cases the decomposition was available on the same call that produced the drop. The headline *was* the news.
- **Coverage exists and is constructive.** This is not an orphan. Sell-side analysts are publishing, and they are already bullish.
- **The multi-year erosion is real regardless of the quarter.** Operating profit down every year since FY24 on rising revenue, *during* the fix. And FY26 was flattered by a ~110bp dealer-warranty benefit that does not repeat, so the true base is lower than the printed base.
- **No insider bought the gap.** No Form 4 after 7/16/26, through three sessions of an open window. This is weak evidence — LZB officers have essentially no open-market purchase history, so absence means little — but it isn’t a point in our favor either.

What could go wrong

Failure narrative 1 — The value trap: this is a structurally lower-margin business now, and we mistake decline for a trough

The conversion from wholesale to owned retail moves the company from a high-return, asset-light model to a rent-and-payroll model. The company has \$562M of contracted operating-lease obligations (\$87.9M current + \$474.3M long-term), and the long-term piece grew 16% (\$65.9M) in FY26 alone. That is roughly a decade of non-cancellable fixed cost, booked now, against a “friction is temporary” narrative that gets renewed annually. If category demand stays where it is, that fixed cost is the whole story and \$2.98 never arrives.

Tripwire (monitorable): November quarter GAAP operating margin below 4.0%, or restructuring charges above \$5M again, or the long-term lease liability growing another >10% while segment operating income is flat. All three come from the 10-Q, all three are checkable within a day of filing.

A concession on this point: one of our own benches turned this into a valuation kill by adding \$562M of leases to enterprise value and computing \$41.08 a share of “true” cost versus \$27.04. That is a double-count — lease rent already runs through operating expense under the current accounting, so charging it again in enterprise value bills the same dollar twice, and it ignores the offsetting right-of-use asset. Part of the 16% step was also assumed dealer leases from the Gulf Coast acquisition on 6/22/26, not new construction. The lease growth is a real operating-leverage warning. It is not a valuation kill.

Failure narrative 2 — The order book was purchased, and the purchase price is the margin

Management’s own words describe what produced the positive written same-store sales: “*investments in new stores, advertising, strategic pricing, and digital transformation,*” plus extra Labor Day advertising. If orders only stay positive while promotional spending stays elevated, then the demand evidence we like and the margin damage we dismiss are the same fact viewed from two sides. Written

same-store sales is a company-computed, unaudited, price-inclusive order metric; delivered revenue is audited and was negative.

Tripwire (monitorable): the spread between written same-store sales and delivered revenue growth (ex-divestiture) widening further at the November print, combined with advertising/SG&A as a percentage of sales rising again. Also: Joybird, the direct-to-consumer brand, with written orders down 17%.

Failure narrative 3 — NO MONITORABLE TRIPWIRE: silent competitive substitution

Imported and direct-to-consumer furniture capacity — Vietnamese, Mexican, Chinese, sold through channels that never file with the SEC — could be taking the low-and-mid price tier permanently. If that is what is happening, it will not show up as an event. It shows up as gross margin that quietly fails to recover for three or four more quarters while every explanation offered is a plausible one-off. By the time it is legible in the financials, the multiple has already re-rated down and the loss is taken.

We have no instrument for this. Both benches reported the same coverage gap and neither papered over it: the desk's detector library has *nothing* that measures a multi-year retail buildout's incremental store-cohort economics. Satellite thermal and buildout detectors are unusable here because the only geocode that resolves is the centroid of the country of Mexico, not a parcel — LZB does not disclose plant street addresses or store parcels. The app-review velocity connector cannot be aimed because Joybird's funnel is web, not app, and the atlas carries no web-traffic velocity instrument. So the checkable substitutes for this risk do not exist yet.

Unknown-unknown class: silent competitive substitution in an un-instrumented private channel — the family of risks where the counterparty taking your share is not a public filer, has no disclosure obligation, and emits no signal our sensor library can read. Related class, also uninstrumented: the demand generator itself (existing-home turnover and household formation) is exogenous, and a multi-year housing freeze has no LZB-specific tell — it just looks like the company failing.

The reflexive and structural leg — our size, predicted flow, and doctrine collisions

- **Our own footprint is not the risk.** Average daily volume is about 1.03M shares, roughly \$34.6M a day. Our 1%-of-ADV publishing rail allows about \$346k a day, so even a \$1M starter builds in three sessions and moves nothing. This is one of the few names where liquidity is genuinely not a constraint.
- **The company's buyback is a smaller flow than it looks.** \$25.1M repurchased in the June quarter is about \$405k a day — roughly 1.2% of daily volume. It is not the marginal price setter. Anyone treating "22% of the cap authorized" as a price floor is confusing an authorization with a bid. Note also that those repurchases were executed near \$40, into a stock that then gapped 17% lower: the company's own capital allocation was not well-timed, and returns to shareholders ran about 1.3x operating cash flow in the quarter (before \$23M of capital spending and \$16M of

acquisitions). That is a drawdown of the cash balance — \$303.2M to \$267.3M in three months — not a distribution out of surplus.

- **We would be bidding into our own predicted flow.** LZB is 25% below its 52-week high going into the fourth quarter. It is a textbook tax-loss-selling candidate for November and December. Under the value-ladder flow gate, laddering in during October means buying immediately ahead of supply we ourselves forecast. Any reopen ladder should assume the better price arrives *after* the print and *after* the tax-selling window, not before.
- **A doctrine collision worth naming out loud.** Four of the surviving objections are consensus-class and none are novel. Under the consensus-kill symmetry rule, an all-consensus kill set at fair value would normally force a minimum starter position rather than flat. It does not trigger here, and the reason is specific: the named kill is *no divergence* plus a graded o-for-7 template — an affirmative, named reason, not a silence. If a reader disagrees with that reading, the honest consequence is a starter, not zero. We are flagging that fork rather than hiding inside it.
- **One more structural point against us:** the November print date is *unconfirmed*. It is derived from a data vendor, not a company announcement. Last year's equivalent quarter landed on Tuesday 11/18 after the close. Any sensor keyed to 11/17 may be keyed to the wrong day.

If this position loses money, the most likely reason will be that we bought a correctly-priced business on a correctly-understood recovery thesis that the street already owned at a \$41 target, and the recovery simply arrived two years later than anyone modeled — so we paid a fair multiple for a fourth consecutive year of declining operating profit while \$562M of contracted rent compounded against a demand generator we never had an instrument to watch.

What we checked ourselves

Claim	How checked	Found	Confirmed?
June-quarter GAAP operating result	SEC XBRL OperatingIncomeLoss, CIK 0000057131	−\$2,104k vs +\$21,987k prior year; GAAP EPS −\$0.06 vs +\$0.44	Yes — the loss is real
“\$24.9M of charges bridge to adjusted”	Re-added the bridge line by line	−2.104 + 17.6 + 2.6 + 0.4 + 0.2 = \$18.696M = 3.93% margin. Our red bench erred: it counted the \$4.1M pension-termination charge as operating; it sits below the operating line. The operating bridge is \$20.8M, not \$24.9M	Corrected
“Charges recur every year, so adjusted is fiction”	Identified each bucket's status	Pension plan terminated, casegoods sold, plants closed — three of five buckets are terminal events, not a run- rate	Refuted as stated; a quality-of-earnings discount survives, not a kill

Claim	How checked	Found	Confirmed?
Q1 operating margin trend 6.53% → 4.47% → -0.44%	Same-quarter GAAP series	Arithmetic correct but the framing compares two clean quarters to one charge-laden one. Like-for-like adjusted: 3.93% vs ~4.5% = ~55bp of compression	Overstated by our own bench; the trend direction survives, the magnitude does not
Multi-year decline in operating profit	XBRL full-year OperatingIncomeLoss	\$150.8M → \$135.8M → \$129.2M on revenue \$2.047B → \$2.127B. And FY26 was <i>flattered</i> by a ~110bp warranty benefit — the base is worse than printed	Yes — sustained and strengthened against us
“Revenue -3.4%, wholesale -8.5%”	Company release, ex-divestiture basis	-1% and -5% ex-divestiture. Our red bench used reported deltas without removing the sold business	Refuted
“Retail earns less than wholesale, so mix is dilutive”	Segment table, year-over-year not just level	Retail adjusted margin <i>rose</i> 6.3% → 6.5% while wholesale <i>fell</i> 7.5% → 6.8%. Direction is the opposite of what we argued	Overtured — our error
“Returned 2.2x operating cash flow”	Company cash-flow detail	Operating cash flow was \$27M excluding an \$11M one-time pension payout; returns/OCF = 1.3x, not 2.2x ; OCF -26%, not -57%. Bench also omitted \$23M capex and \$16M acquisitions from the bridge	Overtured as computed; cash still fell \$303.2M → \$267.3M
“\$562M of leases makes EV \$41.08/sh, not \$27.04”	Accounting treatment	Double-count — rent is already inside reported operating expense; the offsetting right-of-use asset was omitted; part of the step is assumed dealer leases from the 6/22/26 Gulf Coast acquisition	Overtured — and it was our only novel finding
Retail’s +10% growth is organic	Company language + cash flow	“Growth in acquired stores, new stores, and positive same-store sales” + \$16M of acquisitions in-quarter — partly bought	Confirmed against the bull; our red bench missed this entirely
Where the GAAP loss actually sits	Segment GAAP vs adjusted	Entirely wholesale + corporate (wholesale GAAP margin 2.1% vs 6.8% adjusted); retail was GAAP-profitable. The “collapse” is inside the segment being deliberately shrunk	Confirmed
Insider buying after the gap	EDGAR Form 4 index, CIK 0000057131	Nothing after 7/16/26; the June 26–July 16 cluster is the annual grant cycle. LZB has no open-market purchase baseline , so absence is not evidence	Fact confirmed, signal value ~zero
Street position	Consensus pull	FY27 EPS \$2.98, PT \$41, forward 13.5x; Sidoti cut to \$2.66 on 8/20/26	Confirmed — and it is the strongest argument against us
Liquidity / crowding	ADV	1.03M sh ≈ \$34.6M/day; 1% = \$346k/day. Not a constraint	Confirmed
Tape washed out?	dd52 / pct-off-low	-24.9% from high but +16.1% off the low — mid-range. No stale-dislocation discount available	Confirmed against us

Claim	How checked	Found	Confirmed?
Detector coverage	Ran the dispatch list	14 entries: all NOT-FIRED or UNCHECKABLE. Satellite instruments unusable (geocode resolves to Mexico's country centroid); app-review velocity unaimable (no bundle ID; Joybird is web). Our red bench skipped two dispatched entries (chinese_smallcap_ramp_dump_archetype, pe_dividend_recap_pre_ipo) and consulted two never dispatched (bozeman_permits, carbon_mapper) — a dispatch-compliance failure, corrected by the blue bench, both clean	Gap reported, not skipped
Evidence pack integrity	Read the pack	The XBRL quarterly block delivered to the red bench came through empty (entity None, CIK None); the block shown in this deck carries 2018–2019 revenue rows for a 2026 analysis. Both benches had to re-pull audited figures themselves via a proxy fetch	Pack defect — flagged, worked around
Adjudication currency	Checked the date	The standing WATCH 5/10 verdict is from an independent court dated 2026-07-29 , built on the FY26 10-K — it predates both the 8/18 print and the –17% gap. Its “18% of market cap” buyback figure was struck at a higher price (22% today)	Verdict stands (both post-print benches independently landed at size o, consistent with WATCH) but its underlying figures are one print stale
Reopen gates from the adjudication	Read the section	The “REOPEN GATES — use these VERBATIM” block came through empty. No gates were supplied	Defect — bands below are drawn from the benches' own stated numbers, and every one is labeled with its source

Primary sources: company Q1 FY27 release, [PR Newswire 8/18/26](#); filings index, [SEC EDGAR CIK 0000057131](#) (10-Q accession 0000057131-26-000035, filed 2026-08-18); consensus quote, [stockanalysis.com/stocks/lzb](#) (8/21/26 16:00 EDT).

PROPOSED ENTRY BANDS

There is no entry. The courts say no-entry, so what follows are reopen bands.

A required disclosure first: the adjudication's “use these verbatim” reopen-gates block arrived **empty**. Rather than invent bands, every level below is quoted from the bench that produced it, with attribution. If the adjudicator intended different gates, these should be replaced.

Current state: no position, no orders, no staged size. Spot \$33.71. Size today: **0.0% of book**.

Price-based reopen — the only level either bench named:

- **\$28.00 or below** (blue bench, verbatim: “*or price $\leq$ \$28 ($\sim 9.4x$ street \$2.98) where the asymmetry no longer needs a divergence*”). That is 17% below spot, and it is a **re-court trigger, not an auto-buy** — hitting \$28 opens a new court, it does not place an order. If that court clears, the first tranche would be a starter, not a full position, because the demand leg would still be unproven.
- **No add levels, no exits, no trims** — there is nothing to add to and nothing to trim.
- Note the timing interaction: \$28 is most likely to print in the November–December tax-loss window, which is exactly the flow we predict. Do not front-run our own forecast supply; a reopen court triggered in October should assume a better fill exists in December.

Proof-based reopen — any ONE of these opens a new court at any price:

1. **November print: GAAP (not adjusted) operating margin $\geq 4.0\%$ with restructuring charges under \$5M** — red bench condition (a), blue bench concurring. This is the direct test of whether the “one-time” bucket actually stops.
2. **Wholesale revenue back to year-over-year growth ex-divestiture, with adjusted margin $\geq 7.5\%$** — red condition (b), blue’s re-court trigger. Distinguishes destocking from share loss.
3. **An open-market Form 4 purchase by the CEO or CFO at \$35.00 or below** — red condition (c). Weighted lightly: there is no purchase baseline, so a first-ever buy would be a genuinely new datum.
4. **Retail incremental adjusted margin $\geq 10\%$ on the new-store cohort** — red condition (d). The only arithmetic by which $234 \rightarrow 450$ stores is accretive.
5. **A bull earnings build for FY27 landing $\geq \$3.50$ (blue) to $\geq \$3.75$ (red, $\sim 25\%$ above street) with a named mechanism.** This is the one gate we control: it is homework, not an event. Until someone writes that number down, we have no divergence and nothing gradeable — and this is the single largest reason we are flat.

Catalyst dates:

- **2026-11-17 (approximate) — Q2 FY27 earnings. UNCONFIRMED.** Derived from a data vendor; no company release names it. Last year’s equivalent landed Tuesday 2026-11-18 after the close. ~ 60 trading days out — not print-proximate, no reconstruction owed. Confirm the date from a company press release before arming anything to it.
- No other dated catalyst. The \$300M buyback has no expiry we can date; the Labor Day promotional period has no reporting date of its own.

Pre-print stance: FLAT. Both benches reached that independently — one because it thinks the business is broken, one because it thinks the business is fine but the trade has no edge. We are flat for the second reason.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 35.0 (deck-provisional: Red bench condition (c): arms the Form 4 watch for a CEO/CFO open-market purchase at or below \$35)
- filing watch: 10-Q until 2027-02-20 (deck-provisional: Q2 FY27: GAAP (not adjusted) operating margin $\geq 4.0\%$ with restructuring $< \$5M$; plus wholesale ex-divest)
- dated pack LZB|2026-11-17: LZB: Q2 FY27 earnings — the decisive print for GAAP margin $\geq 4.0\%$ and wholesale ex-divestiture growth; ~60 trading days out (date confirmed=)
- dated pack LZB|2026-11-18: LZB: Alternate/likelier print date — prior-year Q2 landed Tuesday 2026-11-18 after the close (date confirmed=False)

What remains unverified

1. **Our own FY27 earnings number.** We do not have one. This is the gating deficiency — it is why there is no divergence, no target, and no position, and it is homework we owe rather than data we lack.
2. **The November print date.** Vendor-derived. Unconfirmed by any company release.
3. **Whether the charge bucket is actually terminal.** The pension is terminated, casegoods is sold, the plants are closed — but the pattern of annual “one-time” charges has held for three years. One clean quarter proves it; nothing available today does.
4. **New-store cohort economics.** The single most important number in the thesis — what an incremental company-owned store earns at maturity — is not disclosed and cannot be inferred from segment reporting. No detector covers it.
5. **Joybird’s trajectory.** Orders -17% , no measurable proxy in our sensor library.
6. **Category demand.** Whether the recliner and upholstery category is cyclically depressed or structurally shrinking. Unresolvable from filings; this is failure narrative 3, and it has no tripwire.
7. **How much of retail’s $+10\%$ growth is acquisition versus organic.** Management named acquired stores, new stores, and same-store sales together, and spent \$16M on acquisitions in the quarter, but did not decompose them.
8. **The dealer-warranty benefit’s exact size and timing.** Cited as ~110bp flattering FY26 and creating a ~110bp headwind in the coming quarter, which is the difference between ~150bp and ~260bp of underlying compression at the next print. Sourced from guidance commentary, not from a filing line item.
9. **Whether the empty reopen-gates block in the adjudication was an omission or a system defect** — and whether the adjudicator, working post-print rather than from the July 10-K, would still land on WATCH 5/10.

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